Gap Analysis Report

Policy: Unknown Policy

Regulation: Unknown Regulation

Compliance Score: 52.3%

Date: 2026-02-07T23:01:55

Gap Summary

Critical: 3 | High: 2 | Medium: 3 | Low: 2 | Total: 10

Executive Summary

The KYC Compliance Policy 2025 shows moderate compliance with RBI Microfinance Institution Directions. Critical gaps exist in customer due diligence for microfinance borrowers and income assessment methodology. The policy partially addresses loan documentation but lacks specific provisions for microfinance loan cards. Immediate attention needed for 3 critical and 2 high-severity gaps.

Priority Actions

1. Address missing customer due diligence framework for microfinance borrowers immediately
2. Update income assessment methodology to include household income verification
3. Resolve conflicting provisions on loan pricing transparency vs existing fee structure
4. Strengthen weak clauses on borrower grievance redressal mechanism
5. Add provisions for repayment capacity assessment per RBI guidelines

Gap Details

Gap #1 - Missing (Critical) - Confidence: 95%

Description: The policy completely lacks provisions for customer due diligence specific to microfinance borrowers. RBI requires specialized KYC procedures for microfinance lending.
Fix: Add a dedicated section on Microfinance Customer Due Diligence covering simplified KYC for small-value loans and field verification protocols.

Gap #2 - Missing (Critical) - Confidence: 92%

Description: No provisions for income assessment and repayment capacity analysis of microfinance borrowers.
Fix: Implement income assessment framework with household income verification and debt-to-income ratio.

Gap #3 - Weak (Medium) - Confidence: 87%

Description: The policy mentions borrower grievance redressal but uses weak language ('may' instead of 'shall') and lacks specific timelines.
Fix: Updated remediation text after human review

Gap #4 - Conflicting (Critical) - Confidence: 89%

Description: Policy fee structure allows processing charges up to 5% which directly conflicts with the regulation cap of 1% for microfinance loans.
Fix: Amend fee structure to cap at 1% for microfinance loans per RBI mandated caps.

Gap #5 - Partial (High) - Confidence: 84%

Description: Loan documentation covers general requirements but missing microfinance loan cards, vernacular language, and cooling-off period provisions.
Fix: Add loan card in vernacular language, borrower rights pamphlet, and cooling-off period notice.

Gap #6 - Partial (Medium) - Confidence: 78%

Description: Data protection mentioned but missing digital data consent, storage periods, and third-party sharing restrictions.
Fix: Add explicit consent forms, 5-year storage policy, and third-party data sharing restrictions.

Gap #7 - Weak (Medium) - Confidence: 81%

Description: Training clause uses vague language about frequency. Regulation requires quarterly mandatory training with assessment.
Fix: Specify quarterly mandatory training with documented attendance and 80% minimum assessment score.

Gap #8 - Partial (Medium) - Confidence: 76%

Description: Audit provisions lack microfinance portfolio audit, field visit audits, and concurrent audit requirements.
Fix: Add concurrent audit of MFI operations, quarterly field visits (10% branches), annual portfolio review.

Gap #9 - Compliant (Low) - Confidence: 91%

Description: Aadhaar-based e-KYC implementation fully meets electronic identity verification requirements.

Gap #10 - Compliant (Low) - Confidence: 88%

Description: AML suspicious transaction reporting adequately covers FIU-IND requirements.